BRIGHTWELL OUTFITTERS
Annual Supplier & Logistics Partner Review
Fiscal Year Ending January 31
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Classification: Internal — Leadership Team

EXECUTIVE SUMMARY

This report evaluates the performance of Brightwell's eleven principal suppliers and logistics partners over the past fiscal year, using a scorecard covering quality, on-time performance, cost, communication, and sustainability practices. Overall, supplier performance was stable, with two clear exceptions. Total spend across the vendors reviewed was $3.86 million, up 14% from the prior year, roughly in line with revenue growth.

Key recommendations:
1. Renew agreements with eight vendors on existing terms or with minor adjustments.
2. Renegotiate pricing with our zipper and hardware supplier, whose costs rose faster than inflation.
3. Begin dual-sourcing for insulated outerwear to reduce dependence on a single factory.
4. Replace our primary regional freight carrier (see Section 4.2).
5. Introduce quarterly business reviews with our top five vendors by spend.

1. METHODOLOGY

Each vendor was scored from 1 (poor) to 5 (excellent) on five weighted criteria:

- Quality (30%): defect rates found at incoming inspection, customer returns attributed to manufacturing defects, and the outcome of any quality disputes.
- Delivery (25%): percentage of purchase orders or shipments delivered within the agreed window. For carriers, this is the percentage of parcels delivered by the promised date as measured by our shipping platform.
- Cost (20%): price competitiveness compared with at least one alternative quote, price changes over the year, and payment terms.
- Communication (15%): responsiveness, accuracy of order confirmations, and proactive notification of problems.
- Sustainability & compliance (10%): third-party audits, material certifications (e.g., bluesign, recycled content claims), and completion of our supplier code of conduct questionnaire.

Data sources included our ERP purchase order records, the warehouse receiving log, Shopify returns data tagged by reason code, the shipping platform's carrier performance exports, and a short survey of internal staff who work with each vendor. Scores were reviewed jointly by Operations, Finance, and Product to reduce individual bias.

A weighted score of 4.0 or above is considered strong, 3.0–3.9 acceptable, and below 3.0 a candidate for corrective action or replacement.

2. VENDOR OVERVIEW

The vendors in scope fall into four groups:

Apparel manufacturing:
- Huong Lam Garment Co. (Vietnam) — rain shells, softshells, Stormline jacket
- Andes Knitworks (Peru) — fleece and base layers
- Pinecrest Apparel (Portugal) — hiking pants and shorts

Footwear and accessories:

- Tolvera Footwear (Portugal) — hiking boots
- Fairhaven Packs (USA) — backpacks and daypacks

Components and packaging:
- Kestrel Hardware Supply — zippers, snaps, cord locks
- GreenFold Packaging — mailers and boxes (recycled content)

Logistics:
- TransCoast Freight — regional LTL and parcel carrier, West Coast
- Ridgeline Parcel — secondary parcel carrier
- National postal service — lightweight parcels under 1 lb
- Harborline Customs Brokerage — import clearance

3. SUMMARY SCORECARD

Vendor | Quality | Delivery | Cost | Comm. | Sustain. | Weighted
Huong Lam Garment | 4.5 | 4.0 | 3.5 | 4.5 | 4.0 | 4.15
Andes Knitworks | 4.0 | 3.5 | 4.0 | 3.5 | 4.5 | 3.88
Pinecrest Apparel | 4.0 | 4.5 | 3.0 | 4.0 | 4.0 | 3.93
Tolvera Footwear | 4.5 | 4.0 | 3.0 | 4.0 | 3.5 | 3.93
Fairhaven Packs | 4.0 | 4.0 | 3.5 | 5.0 | 3.5 | 4.00
Kestrel Hardware | 3.5 | 4.0 | 2.0 | 3.0 | 3.0 | 3.18
GreenFold Packaging | 4.0 | 4.5 | 4.0 | 4.0 | 5.0 | 4.18
TransCoast Freight | 3.0 | 1.5 | 4.0 | 2.0 | 3.0 | 2.63
Ridgeline Parcel | 4.0 | 4.5 | 3.0 | 4.0 | 3.5 | 3.93
National postal | 3.5 | 3.5 | 4.5 | 2.5 | 3.0 | 3.50
Harborline Customs | 4.0 | 4.0 | 3.5 | 4.5 | 3.0 | 3.90

4. DETAILED FINDINGS

4.1 Apparel and footwear manufacturing

Huong Lam remains our strongest apparel partner. The defect rate at incoming ins
pection was 0.9%, down from 1.4%. The early seam-taping problem with the Stormli
ne jacket samples was caught before production and Huong Lam reworked the proces
s at their own cost, which delayed launch by about seven weeks but avoided what
could have been a costly recall. Their main weakness is cost: prices increased 6
% in the second half of the year, which they attribute to wage increases and fab
ric costs. We consider this reasonable.

Andes Knitworks delivered good quality fleece but missed delivery windows on thr
ee of eleven purchase orders, in each case by one to two weeks. Two of the delay
s were linked to port congestion rather than the factory itself. Communication a
bout the delays was late. We recommend renewal with a request for earlier notice
 of shipping problems.

Pinecrest Apparel and Tolvera Footwear, both in Portugal, performed well on qual
ity and delivery, but they are our most expensive suppliers on a per-unit basis.
 Product believes the quality justifies the price for boots; for hiking pants, F
inance would like a comparison quote from a second factory before next season.

Because Huong Lam is the sole source for all insulated and waterproof outerwear,
 which represented 38% of revenue, a disruption at that one factory would be ser
ious. We recommend qualifying a second outerwear factory this year, starting wit
h a small production run of one style.

4.2 Logistics partners

TransCoast Freight is the area of greatest concern in this review and the main r
eason this report recommends a change in carriers.

TransCoast handled about 61% of our outbound parcel volume and all of our inboun

d LTL freight from the Port of Oakland to the warehouse. Their rates are the lowest of the carriers we use, about 9% below Ridgeline for comparable zones, which is why they were selected two years ago. However, their on-time performance deteriorated sharply this year. Parcels delivered by the promised date fell from 93% in the first quarter to 78% in the fourth quarter, and during the November–December holiday peak only 71% of TransCoast parcels arrived on time. By contrast, Ridgeline maintained 95% or better throughout the year, including the peak.

The customer impact is measurable. Support tickets tagged "where is my order" rose 64% in Q4 compared to Q3, and 72% of those tickets involved TransCoast shipments. Customer survey respondents in California and the Southwest specifically listed slow shipping as their top complaint. We also issued approximately $21,400 in shipping refunds and goodwill credits related to late deliveries, which largely cancels out the cost savings from TransCoast's lower rates.

Communication from TransCoast was also poor. Our account representative changed three times in twelve months, and requests for root-cause explanations of the peak-season delays went unanswered for several weeks. Damaged-parcel claims took an average of 41 days to resolve.

Recommendation: shift primary outbound parcel volume from TransCoast to Ridgeline Parcel effective at the start of the next fiscal quarter, and issue a request for proposal for inbound LTL freight from the Port of Oakland, inviting TransCoast to bid alongside at least two other carriers. Ridgeline has indicated it can absorb the additional volume and offered a 4% volume discount if we commit to 70% of outbound parcels, which would narrow the price gap. Finance estimates the net cost impact at roughly +$11,000 per year after accounting for reduced refunds and credits, which leadership should weigh against the customer experience benefit.

The national postal service remains cost-effective for lightweight items such as hats and socks; tracking quality is inconsistent but acceptable for low-value parcels. Harborline Customs Brokerage performed well; there were no held shipments this year.

4.3 Components and packaging

Kestrel Hardware Supply scored lowest on cost. Prices for YKK-equivalent zippers rose 18% over the year, well above inflation, and our attempts to discuss pricing were met with a standard letter. Quality is acceptable, though there was one batch of cord locks with a 6% failure rate. We recommend getting competing quotes from at least two other component suppliers and using them to renegotiate; if Kestrel won't move on price, we should switch for at least the non-critical components.

GreenFold Packaging was the best-scoring vendor overall. All mailers are now 100% recycled content and curbside-recyclable, which customers frequently mention positively in reviews. GreenFold also helped us redesign our boot box to reduce dimensional weight, saving an estimated $0.42 per boot shipment.

5. SUSTAINABILITY AND COMPLIANCE

Nine of eleven vendors returned our supplier code of conduct questionnaire. Kestrel Hardware and TransCoast did not respond despite two reminders. Huong Lam and Andes Knitworks provided third-party social audit reports from the past 18 months, and both were satisfactory with minor findings (fire exit signage at Huong Lam, overtime record-keeping at Andes) that have since been corrected. Product will require recycled content certification for all new fleece styles beginning next fall.

6. FINANCIAL SUMMARY

Total spend by category:
- Apparel and footwear manufacturing: $2.61M
- Components and packaging: $0.31M
- Logistics (outbound and inbound): $0.79M
- Customs brokerage and duties (brokerage fees only): $0.15M

Payment terms are net 30 for most vendors. Huong Lam offered net 45 in exchange for a 12-month volume forecast, which Finance recommends accepting.

7. RECOMMENDATIONS AND NEXT STEPS

1. Approve carrier change from TransCoast to Ridgeline for primary outbound parcels (owner: Raj, target: start of Q2).
2. Issue RFP for inbound LTL freight (owner: Raj, target: 6 weeks).
3. Obtain two competing quotes for zippers and hardware (owner: Tomasz, target: 8 weeks).
4. Begin qualifying a second outerwear factory with a pilot run (owner: Tomasz, target: samples by end of Q3).
5. Accept Huong Lam's net-45 terms with a volume forecast (owner: Beth).
6. Schedule quarterly business reviews with Huong Lam, Andes, Tolvera, Fairhaven, and Ridgeline (owner: Raj).
7. Follow up on missing code of conduct questionnaires; non-response by next review will count against vendor scores.

Appendix A: Scoring rubric details (attached separately)
Appendix B: Carrier on-time data by month (attached separately)